

Falsifiability Protocol

A pre-committed operational charter.

Governing the Ekantik Trading Strategy.
Issued by the operator. Witness-locked. Publicly disclosed.
Modification subject to a 48-hour cool-off and written justification.

DOCUMENT	Falsifiability Protocol · Locked Operational Charter
VERSION	1.0
REFERENCE	FP-V1-2026-05
STRATEGY	Ekantik Trading Strategy · ES / MES Futures
ISSUING ENTITY	Ekantik Capital Advisors LLC · Maple Grove, MN
DATE LOCKED	15 May 2026
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Preamble.

Every credible system pre-defines the conditions under which it admits the edge is gone. Most trading operations do not. This one does.

This document is the locked operational charter governing the Ekantik Trading Strategy's edge-falsifiability conditions. It defines, in writing and under witness, the precise statistical threshold at which the operator agrees to declare the edge statistically dead, the mandatory stand-down sequence that follows, and the conditions under which the strategy may be re-deployed.

The document exists to address a structural failure mode common to discretionary and semi-mechanical trading operations: **under cumulative loss, the operator becomes a different cognitive agent than the operator who designed the rules.** Without a pre-committed, witness-locked falsifiability protocol, the operator under loss will rationalize continued deployment of an edge that no longer exists. This protocol is engineered to make that rationalization structurally impossible.

The protocol is constructed on the same engineering principle that governs aviation autopilot certification: *failure modes are documented before the aircraft carries passengers, not after.* The thresholds, sample sizes, cool-off periods, and re-deployment criteria specified in the Articles that follow were derived prior to the deployment of founding member capital, locked under witness, and made public on the firm's accelerator page. They cannot be modified under stress. They can only be modified through the protocol described in Article IV.

THE RULE ABOUT THE RULES

The operator under loss is a different cognitive agent than the operator who set the rules. Under stress, the designer is gone. Only the rule remains. This protocol exists to ensure the rule cannot be modified by the agent who is no longer the designer.

Article I

The Trigger Condition.

Statistical death is defined in advance.

The operator agrees to declare the edge statistically dead upon satisfaction of the following condition:

Realized expectancy across rolling 100 qualified trades drops below \$0 per trade — the edge becomes net-negative.

The condition is evaluated continuously. Each new closed qualified trade extends the rolling window forward by one. The trigger condition is satisfied at the close of the trade that first brings the rolling-100 expectancy to zero or below — the point at which the edge is no longer producing positive expectancy in real markets.

DEFINITION — QUALIFIED TRADE

A qualified trade is a trade that was (a) entered under all operative entry rules of the strategy as documented at the time of entry, (b) exited under all operative exit rules of the strategy as documented at the time of entry, and (c) not affected by execution error, third-party platform malfunction, or extraordinary market event that materially altered the trade's outcome relative to documented rules. Disqualified trades are tracked separately and are not counted toward the rolling 100.

RATIONALE — THRESHOLD

The \$0 threshold is the cleanest falsifiability bar available: the strategy stands down when, and only when, it is no longer producing positive expectancy. The current live realized expectancy at this document's lock date is **+\$67 per trade** across 59 closed live trades — well above the trigger threshold. The intent is to declare statistical death only when the edge is empirically dead, not when it is merely degraded from baseline. A threshold above zero would trigger on variance from any working edge. A threshold at zero triggers only when the rolling-100-trade expectancy has crossed into net-negative territory.

RATIONALE — SAMPLE SIZE

A rolling sample of 100 qualified trades is statistically wide enough that false-positive trigger events — variance-driven rather than edge-driven — are unlikely on a true positive-expectancy edge. At a sample of 100, the standard error of per-trade realized expectancy is approximately \$30 (estimated from the live-sample trade-return distribution). A realized expectancy of \$0 therefore sits approximately 2.2 standard errors below the current live realized expectancy of +\$67 per trade — sufficient to constitute statistical evidence of edge collapse rather than noise around a working edge.

Article II

The Action Protocol.

Immediate stand-down. No exceptions. No renegotiation.

Upon satisfaction of the trigger condition under Article I, the following actions occur immediately and without exception:

§1 • NEW ENTRIES

All new strategy entries shall be dropped to zero size with effect from the next trading session. The strategy shall not initiate new positions of any size, on any account, under any documented rule, until the Re-Deployment Gate under Article III has been satisfied in full.

§2 • EXISTING POSITIONS

Open positions at the moment of trigger satisfaction shall be closed at the next defined exit per the original trade plan governing that position. No discretionary acceleration. No discretionary delay. The trade plan governs. Any deviation from the trade plan is itself a falsifiability event subject to separate documentation.

§3 • STRATEGY STATUS

The strategy shall be moved to research-only status. Research-only status permits historical analysis, hypothesis development, paper trading, and prop-firm-funded virtual deployment. It does not permit live capital deployment under any size.

§4 • PUBLIC NOTIFICATION

The stand-down shall be posted to the public Discord trade journal within twenty-four (24) hours of the trigger event. The post shall include (a) the rolling-100-trade expectancy figure that satisfied the trigger, (b) the trade ID of the closing trade, and (c) a statement that the strategy has entered research-only status pending Article III satisfaction.

ENGINEERING NOTE

The action protocol is intentionally sequenced before any analysis or re-derivation. Analysis under stress is unreliable. The stand-down occurs first. The analysis happens after the position is flat and the operator has decompressed.

Article III

The Re-Deployment Gate.

Earned re-entry only. Three conditions, all required.

The strategy shall not return to live deployment until all three of the following conditions are satisfied in full. Satisfaction of any two without the third does not constitute satisfaction of the Re-Deployment Gate.

§1 • OUT-OF-SAMPLE STATISTICAL TEST

A fresh out-of-sample expectancy test shall be conducted on a sample of not fewer than **fifty (50) qualified trades**, executed under documented strategy rules, with a realized expectancy of not less than **+\$50 per trade**. The test shall be conducted on virtual capital, paper-trading capital, or prop-firm-funded capital. The test shall not be conducted on founding member capital under any circumstance.

§2 • WRITTEN RE-DERIVATION

The operator shall produce a written re-derivation document explaining: (a) the structural cause of the original edge decay, (b) the structural changes, if any, to strategy logic that warrant re-deployment, (c) the rationale for believing the edge has returned, and (d) any proposed changes to the trigger condition under Article I that shall apply going forward. The document shall be made available to founding members upon request and posted in summary form to the public Discord trade journal.

§3 • COOL-OFF PERIOD

A minimum of **forty-eight (48) hours** shall elapse between the satisfaction of §1 and §2 above and any new live trade entry. The cool-off period exists to prevent re-deployment under the emotional momentum of a successful out-of-sample test. No exceptions.

RATIONALE — ASYMMETRIC BAR

The re-deployment bar is set at +\$50 per trade, well above the \$0 trigger threshold. The asymmetry is deliberate: stand-down requires only evidence the edge has crossed into net-negative territory; re-deployment requires evidence of meaningfully positive expectancy. The system is engineered to be quick to fail and slow to forgive.

Article IV

The Modification Protocol.

No modification under stress. No modification without witness.

Any proposed modification to this protocol — including, without limitation, the trigger threshold under Article I, the rolling-window size, the action steps under Article II, the re-deployment criteria under Article III, or the cool-off period — shall be subject to the following:

§1 • 48-HOUR COOL-OFF

No modification may be enacted within forty-eight (48) hours of its first proposal. The cool-off window exists to prevent modification under emotional stress, particularly modifications proposed during or immediately after a losing session.

§2 • WRITTEN JUSTIFICATION

The operator shall produce a written justification for the proposed modification, identifying the structural reason — not the recent outcome — motivating the change. Justifications that reference recent P&L as their motivating factor are facially insufficient.

§3 • WITNESS LOCK

The modification shall be witness-signed by at least one named witness (see Article V) before becoming operative. Witness signature attests only that the modification protocol under this Article was followed; the witness does not endorse the substance of the modification.

§4 • PUBLIC DISCLOSURE

Any enacted modification shall be posted to the public Discord trade journal within twenty-four (24) hours of becoming operative, and shall be reflected in the next-issued version of this document with version number incremented and lock date refreshed.

DOCTRINE

The operator under stress is a different cognitive agent than the operator who designed the rules. This Article exists to ensure the rules cannot be modified by the agent who is no longer the designer.

Article V

Witness & Signature.

The document is locked under signature. Modifications require witness countersignature per Article IV.

OPERATOR

Hiren Desai

Founder & Chief Investment Officer
Ekantik Capital Advisors LLC

SIGNATURE

/s/ Hiren Desai

DATE LOCKED

15 May 2026

By signature, the operator attests that the above protocol was derived prior to the deployment of founding member capital and is hereby locked as the governing operational charter of the Ekantik Trading Strategy. Original signed instrument retained on file at the issuing entity and available for inspection by founding members upon request.

WITNESS 01

NAME

DATE

RELATIONSHIP

SIGNATURE

Witness signature attests only that the modification protocol under Article IV was followed. The witness does not endorse the substance of any modification.

WITNESS 02

NAME

DATE

RELATIONSHIP

SIGNATURE

Witness signature attests only that the modification protocol under Article IV was followed. The witness does not endorse the substance of any modification.

Mathematical Rationale.

The thresholds, sample sizes, and cool-off periods specified in Articles I through IV were derived from the following reasoning. The appendix is included so that any reader — founding member, prospective member, or independent reviewer — may evaluate the protocol's parameters on first principles.

A.1 • WHY \$0 IS THE TRIGGER THRESHOLD

The trigger threshold of \$0 per trade is the cleanest possible falsifiability bar. It marks the empirical boundary between a strategy that is producing positive expectancy and a strategy that is not. The current live realized expectancy at this document's lock date is **+\$67 per trade** across 59 closed live trades.

A threshold set anywhere above zero would trigger on variance from any working edge — realized expectancy oscillates above and below its true mean by design, and a positive-but-degraded threshold would be tripped by ordinary distribution variance. A threshold set at zero triggers only when the rolling-100-trade realized expectancy has crossed into net-negative territory: the edge is not merely degraded, it is empirically gone. This is the bar at which "the strategy still works" becomes "the strategy no longer works" as a matter of arithmetic, not interpretation.

A.2 • WHY 100 TRADES IS THE ROLLING WINDOW

At a sample of 100 trades, the standard error of per-trade realized expectancy is approximately \$30 (calculated as the population standard deviation of trade-level P&L divided by the square root of sample size, using the live-sample trade-return distribution as the reference population).

A realized expectancy of \$0 therefore sits approximately 2.2 standard errors below the current live realized expectancy of **+\$67 per trade**. By conventional statistical reasoning, this magnitude of deviation is unlikely ($p < 0.05$) to occur by chance on an edge still producing live expectancy near current levels. The 100-trade window is the smallest rolling sample that delivers this statistical confidence; smaller windows would trip on noise, larger windows would delay detection of genuine edge collapse.

A.3 • WHY +\$50 / 50 TRADES IS THE RE-DEPLOYMENT GATE

The re-deployment bar is intentionally asymmetric to the trigger bar. Stand-down requires only evidence the edge has crossed into net-negative territory (rolling-100 expectancy at or below \$0). Re-deployment requires fresh evidence of meaningfully positive expectancy (+\$50 per trade over 50 trades). The system is engineered to be quick to fail and slow to forgive.

The smaller sample (50 trades) exists to keep the re-deployment gate practically achievable within a reasonable observation window. The threshold of +\$50 per trade sits below current live realized expectancy (\$67) but well above zero. A re-deployment criterion at zero would permit return-to-live the moment the edge stopped losing — without requiring evidence that it has actually returned. The +\$50 bar requires evidence the edge is working at meaningful magnitude, not merely surviving.

A.4 • WHY 48 HOURS

Behavioral research on emotional-state decay indicates that high-arousal cognitive states — anger, panic, regret, overconfidence following a win streak — typically resolve within 24 to 48 hours. The 48-hour cool-off window is set at the conservative end of this range.

The window applies symmetrically: to re-deployment after stand-down (Article III §3) and to protocol modification (Article IV §1). The underlying cognitive concern is identical in both cases — that decisions made within hours of an emotionally significant outcome are unreliable. The protocol does not adjudicate the type of emotion (regret, vindication, hope, fear); it simply requires the time-delay to elapse before action is permitted.

A.5 • WHAT THIS APPENDIX DOES NOT CLAIM

The mathematical reasoning in this Appendix is presented as the operator's engineering rationale, not as a proof of optimality. Reasonable parameters could be defended at slightly different thresholds. What matters operationally is not that these particular parameters are uniquely correct, but that they were locked under witness before any losing event occurred, and that the modification protocol under Article IV ensures they cannot be silently moved.

CLOSING PRINCIPLE

Falsifiability is engineered in. Most trading operations defer the question of when to admit failure. This one answers it in advance, in writing, under witness, before founding member capital is at risk.

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